Lesson 22 – Planning: Functions & Benefits (MGT503

📘 Lecture Summary

Planning: Functions & Benefits

What is Planning?

Planning is the process of defining organizational goals, establishing strategies to achieve those goals, and developing plans to coordinate organizational activities. This lecture focuses on formal planning, which is closely linked with improved organizational performance. The quality of planning and its implementation matters more than the mere extent of planning.

Why Do Managers Plan? (Purposes of Planning)

Planning serves several key purposes:

Provides direction to the organization

Reduces the impact of change

Ensures coordinated efforts

Reduces uncertainty

Minimizes overlapping and wasteful activities

Establishes standards for controlling

Goals and Plans

Planning revolves around goals and plans.

Goals (Objectives) are desired outcomes for individuals, groups, or organizations.

Plans specify how goals will be achieved, including resource allocation and schedules.

Types of Goals

Financial goals vs Strategic goals

Stated goals: Officially declared goals

Real goals: Goals actually pursued by the organization

Types of Plans

Strategic plans: Organization-wide, long-term, developed by top management

Operational plans: Detail how strategic goals will be achieved

Long-term plans: Beyond three years

Short-term plans: One year or less

Specific plans: Clearly defined with no ambiguity

Directional plans: Flexible guidelines

Single-use plans: One-time plans for unique situations

Standing plans: Ongoing plans (policies, procedures, rules)

Nature and Levels of Organizational Goals

Goals improve performance, clarify expectations, facilitate control, and enhance motivation.

Organizations have a hierarchy of goals:

Strategic goals – Set by top management

Tactical goals – Set by middle management

Operational goals – Set by lower-level management

These goals form a means–end chain.

Linkage of Goals and Plans

Plans provide the means to achieve goals and exist at different organizational levels:

Strategic plans (3–5 years or more)

Tactical plans (1–3 years)

Operational plans (less than 1 year)

Plans may also be classified as:

Single-use plans (programs and projects)

Standing plans (policies and procedures, including SOPs)
Planning and Innovation
Planning can promote innovation through:
Mission statements that encourage creativity
Goals aligned with innovative outcomes
Plans that support implementation of innovation
📝 20 MCQs (VU Paper Pattern)
1. Planning is concerned with:
A. Only means
B. Only ends
C. Both ends and means
D. Controlling
✅ Correct: C
2. Planning is called the primary management function because it:
A. Is easy
B. Requires less effort
C. Establishes the basis for other functions
D. Is least important
✅ Correct: C
3. Which of the following best defines goals?
A. Written documents
B. Desired outcomes
C. Daily activities
D. Action steps
✅ Correct: B
4. Planning gives direction to the organization by:
A. Increasing profit
B. Reducing costs
C. Focusing efforts on objectives
D. Eliminating risks
✅ Correct: C
5. Planning reduces uncertainty mainly by:
A. Ignoring future changes
B. Predicting future events
C. Eliminating competitors
D. Controlling employees
✅ Correct: B
6. Stated goals are:
A. Actual goals pursued
B. Informal goals
C. Officially declared goals
D. Operational goals
✅ Correct: C
7. Real goals are those that:
A. Are written in manuals
B. Management truly pursues
C. Are communicated publicly
D. Are financial only

✅ Correct: B
8. Strategic plans are developed by:
A. Lower management
B. Middle management
C. Top management
D. Employees
✅ Correct: C
9. Operational plans mainly focus on:
A. Long-term vision
B. Tactical coordination
C. Day-to-day activities
D. Industry trends
✅ Correct: C
10. Plans that leave no room for interpretation are called:
A. Directional plans
B. Standing plans
C. Specific plans
D. Strategic plans
✅ Correct: C
11. A one-time plan designed for a unique situation is a:
A. Standing plan
B. Specific plan
C. Single-use plan
D. Directional plan
✅ Correct: C
12. Policies are best described as:
A. Detailed steps
B. Rigid instructions
C. General guidelines
D. Informal rules
✅ Correct: C
13. Standard Operating Procedures (SOPs) are:
A. Informal practices
B. Strategic goals
C. Formalized procedures
D. Tactical plans
✅ Correct: C
14. Tactical goals are usually set by:
A. Top management
B. Middle management
C. Lower management
D. Employees
✅ Correct: B
15. Operational goals emphasize:
A. Broad objectives
B. Long-term results
C. Specific measurable outcomes
D. Industry positioning

✅ Correct: C
16. The relationship between goals and plans is that plans:
A. Replace goals
B. Eliminate goals
C. Specify means to achieve goals
D. Are independent of goals
✅ Correct: C
17. Programs differ from projects because programs are:
A. Smaller in scope
B. Shorter in duration
C. Broader in scope
D. Informal
✅ Correct: C
18. Strategic plans generally have a time horizon of:
A. Less than one year
B. One to three years
C. Three to five years or more
D. One month
✅ Correct: C
19. Which function of management is facilitated by planning?
A. Leading
B. Organizing
C. Controlling
D. Staffing
✅ Correct: C
20. Planning promotes innovation mainly through:
A. Rules and procedures
B. Mission and goal alignment
C. Cost reduction
D. Centralization
✅ Correct: B